



Cambridge International AS & A Level

ECONOMICS

9708/31

Paper 3 A Level Multiple Choice

May/June 2024

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



Done

This document has **12** pages. Any blank pages are indicated.

Remember MAT theory, Marginal greater than average, average rising.

1 Which statement about the concept of utility is correct?

- A** Diminishing marginal utility means that producers become less efficient the more they produce.
- B** If marginal utility is above average utility, average utility must be rising.
- C** The equi-marginal principle says that a consumer gets equal total satisfaction from each item purchased.
- D** Total utility continually rises as the level of consumption rises.

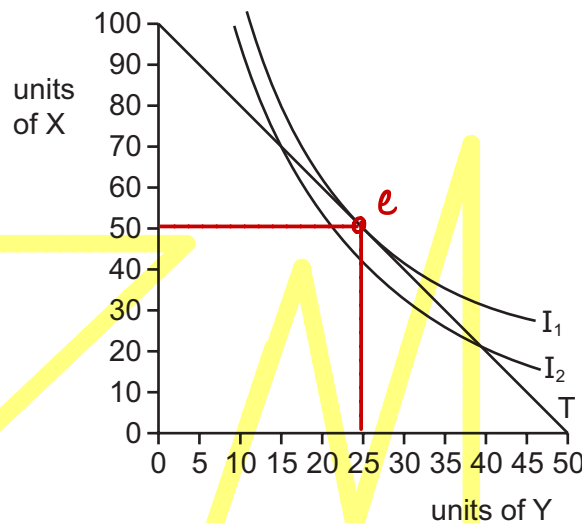
Theory is not related to producers

No, it's related to MU.

$$\frac{MU_x}{P_x} = \frac{MU_y}{P_y}$$

No it falls after $MU=0$, $TU=\max$ at this point.

2 The diagram shows indifference curves I_1 , I_2 and a budget line T.



Which combination of X and Y gives the consumer maximum satisfaction?

	units of X	units of Y
A	100	0
B	70	15
C	50	25
D	20	40

where IC is tangent to budget line, that is equi-marginal principle.

$$\frac{MU_x}{P_x} = \frac{MU_y}{P_y}$$

3 A medical team provides vaccinations for children to prevent an outbreak of an infectious disease.

External benefit (Benefit to the third party)

Why would this be described as a positive externality?

A Additional benefit might be gained as the disease no longer spreads.

B Any kind of medical help will improve the condition of the children.

private benefit

C No action would be taken unless the medical team intervened.

D The social benefits of vaccination are less than the social costs.

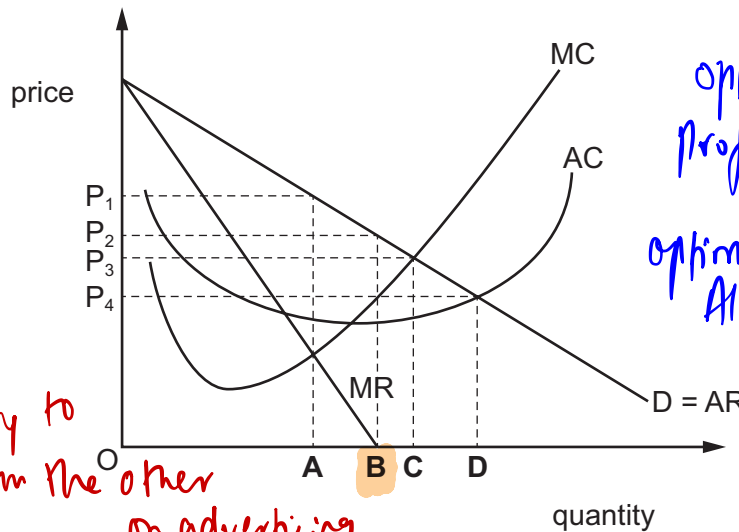
wrong, $SB > SC$, due to existence of External benefit

Doesn't relate to External benefit.

- 4 The diagram shows the cost and revenue curves for a firm.

$$MR=0, TR=\max$$

Which output level will enable a firm to achieve its objective of maximising its revenue?



Optim A: $MC = MR$
Profit max level of output

Optim C: $MC = AC$
Allocative

Optim D: $AR = AC$
Normal profit

Why would they agree,
it's non-collusive.

one firm will always try to
spend more than the other
on advertising.

3/4 large firms

- 5 Oligopoly firms seek to maximise profits.

How will this affect the pricing behaviour of oligopoly firms involved in a non-collusive market?

- A A price is fixed for the product that never changes throughout its life cycle. *It's not fixed*
B Firms will agree on the level of advertising costs for a new product. *It's not collusive*
C If one firm raises its price, other firms will maintain their original price to increase their market share.
D If one firm lowers its price, other firms will increase their price.

*wrong, lower price, industry
result, highly inelastic, $TR \downarrow$*

correct, upper part of kink demand, highly elastic

- 6 An economic activity definitely creates a net social benefit when the value of social benefit minus

- A private benefit is zero.
B private benefit is negative.
C social cost is positive.
D social cost is negative.

$$\begin{aligned} \rightarrow \text{Net SB} &= \text{SB} - \text{SC} \\ \rightarrow \text{Net PB} &= \text{PB} - \text{PC} \\ \rightarrow \text{Net EB} &= \text{EB} - \text{EC} \end{aligned}$$

- 7 Which assumption is essential for a market to be contestable?

- A The market is supplied by a large number of firms.
B Firms are free to enter and leave the market.
C Firms cannot earn abnormal profits in the short run.
D Firms produce differentiated goods.

*Free cost of entry and exit
because of no barriers to entry
→ potential threat of competition*

*Firms can earn abnormal profits
in short run, which attracts
firms in long run, resulting in
normal profits if market is
contestable*

*Not necessarily, under monopolistic competition,
market can be contestable*

This may misallocate resources, but doesn't stop from non-profit max output.

- 8 A firm that raises capital through a share issue has to satisfy both shareholders' expectations and management aims. The management aims to produce at a non-profit maximum output.

Which strategy would necessarily prevent this aim?

- A fixing output where $MC = MR$ in the long run
- B operating price discrimination to maximise revenue
- C rewarding shareholders more than returns to innovation
- D separating ownership and control of the firm

Profit maximizing level of output
 $MR = 0$, this represents non-profit max output

Principal agent problem, leads to non-profit max output, that's why divorce of ownership and control exists

- 9 A major UK chemical firm was bought by its rival, a Dutch chemical firm.

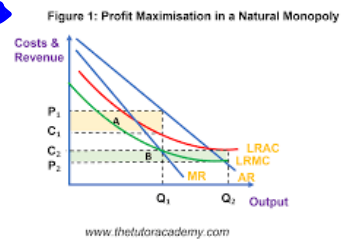
What definitely occurred when the Dutch firm bought the UK firm?

- A a partnership
 - B economies of scale
 - C horizontal integration
 - D increased profits
- Bought by its rival, so take over
 (Falling of ATC) (This can occur, but not definitely)
 (same stage, same industry)
 not necessarily profits occurred, IR and IC information required
 (This can occur, but not definitely).

partnership is a joint business set up.

- 10 Which statement is correct for a firm classed as a natural monopoly?

- A It will always operate in the public sector and earn normal profits.
- B It will have high barriers to entry and be the dominant producer.
- C It will easily benefit from external economies of scale.
- D It will have higher average costs than a monopolistically competitive firm.



- Underreporting or illegal dumping can be done by firms, result in government failure.
- 11 The government can use policies to try and reduce the environmental damage caused by the amount of rubbish (garbage) created by firms and households.

Which policy to reduce rubbish is most likely to lead to government failure?

- A an incentive payment for firms who reduce the levels of rubbish
 - B a tax on the amount of rubbish a firm or household creates
 - C an advertising campaign about the problems created by rubbish
 - D government grants to firms researching how to safely dispose of rubbish
- incentive given, success
 Burden will be passed in form of High price, failure.
 Information, success given
 Success.

Natural monopoly:

- Extremely high fixed cost
- Significant EOS, falling ATC
- Significant barriers
- Single dominant firm
- E.g. Electricity, water

option A: it can even abnorm profits if unregulated

option C: External - outside firm
 natural monopoly relies on internal EOS

option D: No, falling of ATC, see the diagram

11. option D: grants, reduced cost for firms, success!

Because they will cut unprofitable routes to maximize profit

5

12 What would supporters of a nationalised public transport service expect to be the most likely outcome from the privatisation of train and bus services?

- A fewer destinations served by trains and buses (correct)
- B lower fares NO guarantee, if less competition/unregulated, they can charge high price.
- C more frequent services to all destinations unlikely, see reason of option A.
- D more people employed in public transport services, private sector focus on reducing cost, higher chances of job losses.

13 What will cause a household to be caught in the poverty trap?

- A A household earns less than the international poverty line of \$2.15 per person per day.
- B A household spends more than it earns in a month., individual uses up its saving, unrelated to poverty trap.
- C A household's earnings rise at a lower rate than the rise in inflation.
- D An extra dollar earned by a household causes a greater loss in government benefit payments. (Read definition)

fail in real income, this doesn't represent loss of benefits, so not a poverty trap

14 What will cause an outward shift in the demand for labour curve?

- A a decrease in the top rate of income tax, incentive to work ↑, Supply ↑
- B an increase in the demand for the final product → derived demand, D↑ (product), Demand ↑ (shift)
- C an increase in subsidies to firms → This affects supply of the product, not directly affecting Demand for labour.
- D an increase in the size of the working population

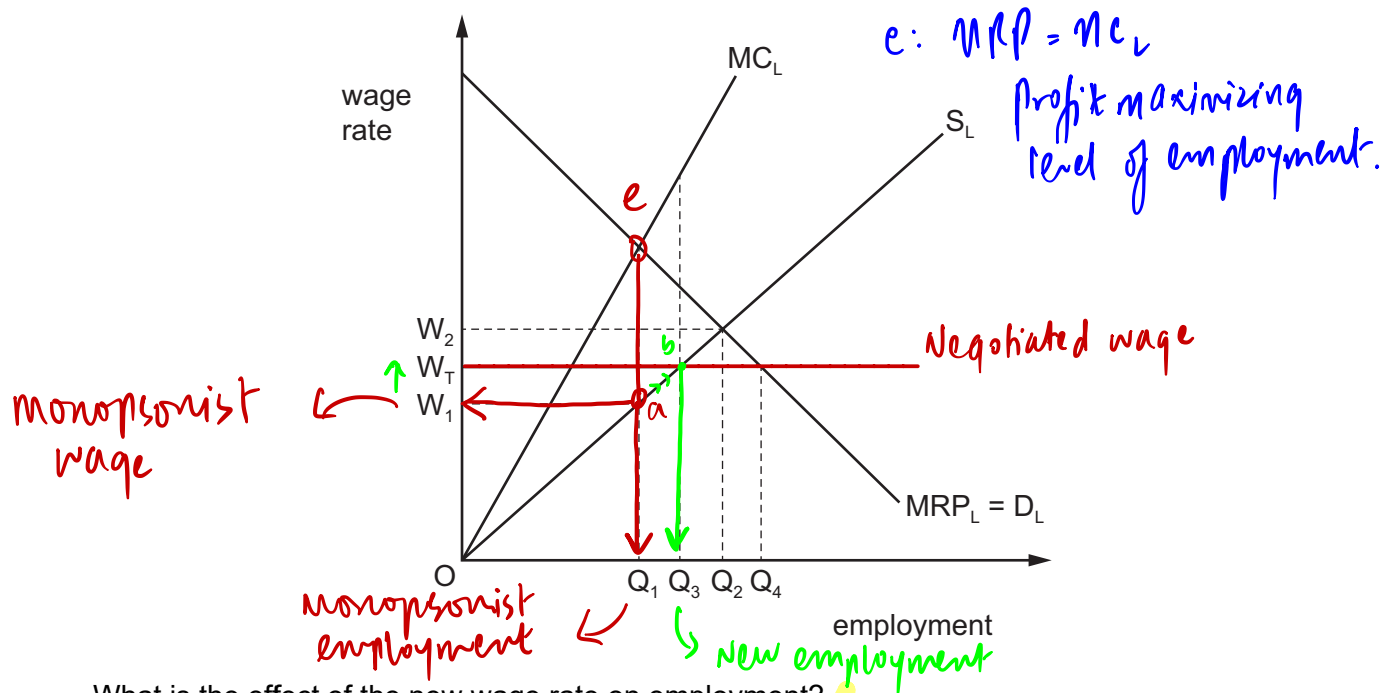
Define:

A situation in which there is little incentive for workers earning a low income to earn extra income, because it would result in having to either pay higher tax and/or losing some of their benefit payments.

↓
affecting supply of labour

$$MRP = MC_L$$

- 15 The diagram shows what happens when the employees of a profit-maximising monopsonist employer form a trade union and successfully negotiate a wage rate of OW_T .



What is the effect of the new wage rate on employment?

- A It falls from OQ_2 to OQ_1 .
 B It falls from OQ_2 to OQ_3 .
 ✓ C It rises from OQ_1 to OQ_3 . *correct.*
 D It rises from OQ_1 to OQ_4 .

- 16 A world financial crisis was partly linked to the actions of commercial banks.

Which actions of the commercial banks could have led to the financial crisis?

- A being subject to tight controls by the central bank over credit creation
 B holding reserves above the reserve ratio agreed with the central bank
 ✓ C taking excessive risks by demanding insufficient security from borrowers
 D widening the gap in favour of a bank's assets over liabilities

less loans offered, so less financial crises
Reserves in hold greater than required, again no financial crises

words speaks for it self, excessive risk: financial crises ↑

- 17 What is most likely to result from a decrease in the natural rate of unemployment?

- A a decrease in government expenditure on goods and services
 ✓ B a decrease in the level of government payments to the unemployed
unlikely to affect membership.
 C a decrease in trade union membership
 D a decrease in interest rates

correct! since unemployment ↓, less payments to be made.

more assets than liabilities, no crises
G ↓, AD ↓, related to demand deficient unemployment, fiscal policy.

Natural rate of unemployment:

- Frictional
- Seasonal
- Structural

- 18 The table gives the percentage (%) rates of youth unemployment and total unemployment in France and the UK in 2001 and 2005.

	France		UK	
	youth unemployment (%)	total unemployment (%)	youth unemployment (%)	total unemployment (%)
2001	19.2 ↑	8.7 ↑	12.0 ↑	5.2 ↓
2005	22.1 ↑	10.1 ↑	12.5 ↑	4.8 ↓

What can be concluded from the table?

- A France and the UK experienced the same trends in unemployment. *no, total employment % ↓*
- B France had a higher number of unemployed people than the UK. *Can't comment on number, data in percentage*
- C The UK used a different definition of unemployment from France. *No data to reflect it*
- D The UK was more successful than France in controlling unemployment. *Yes, rate of total unemployment reduce in UK, see shaded area!*

- 19 What is a necessary assumption of the Keynesian multiplier model?

- A increasing average propensity to save → *Additional income earned, proportion of it will be spent and saved.*
- B flexible costs and prices → *Related to monetarist, Keynes believe price are sticky in short run.*
- C full employment of resources
- D open economies → *Full employment negative the usefulness of multiplier, monetarist assumes to operate in full employment.*

- 20 The table shows the relationship between inflation and unemployment in Germany from 2019 to 2022.

	2019	2020	2021	2022
inflation: annual variation (%)	-1.9	-1.6	2.7	2.6
unemployment rate (%)	6.4	6.1	5.7	5.2

Some theories argue that inflation rates are at their lowest when the rate of unemployment is low.

Which year contradicts this expectation to the greatest extent?

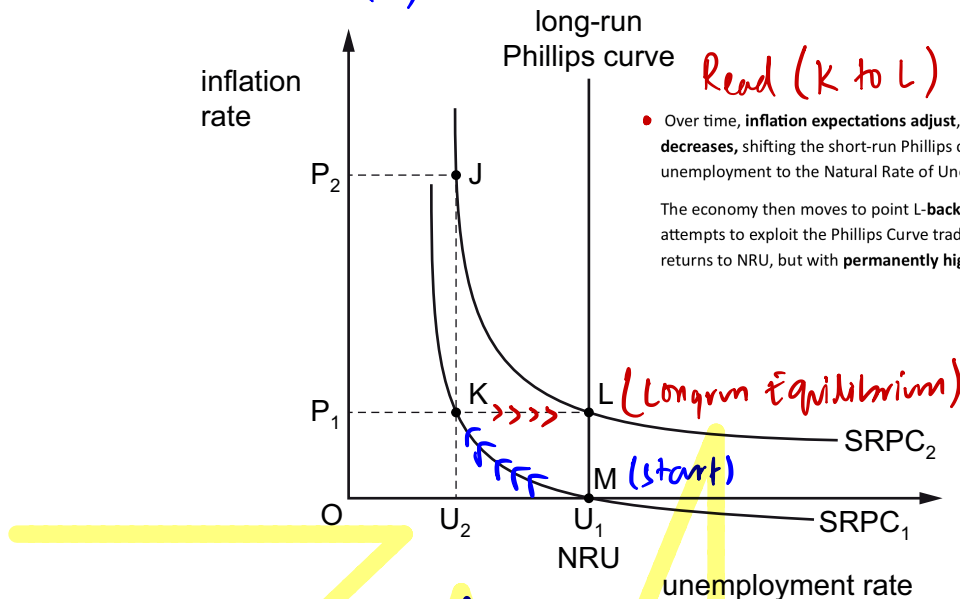
- A 2019 B 2020 C 2021 D 2022

*Inflation (lowest)
Unemployment (low)*

Not generally assumption of multiplier, open economy, weak multiplier, m/m added closed economy, strong multiplier, 1 mps + mpt

2019: deflation (-1.9%), worse than (-1.6% of 2020), with highest unemployment, than other years, this contradicts the statement.

- 21 The diagram represents the short-run Phillips curves $SRPC_1$ and $SRPC_2$ and the long-run Phillips curve in an economy, where NRU is the natural rate of unemployment. The economy is originally in equilibrium with no inflation. (m)



If the government introduces a fiscal stimulus to reduce unemployment, monetarists predict that there will be a series of movements before long-run equilibrium is restored. (m to k to L)

Which set of movements illustrates this prediction?

- A J to K to L B L to K to J C M to K to J ☒ D M to K to L

longrun equilibrium

- 22 An economy has a sudden increase in inflation caused by a large rise in energy prices. It also enters a recession with rising unemployment. cost ↑

A decrease in which policy variable is most likely to reduce the impact of the recession without increasing the price level further? *

- A direct taxation, $Tax ↓, C ↑, I ↑, AD ↑, recession ↓, but AD ↑ > AS, p ↑$
- B government spending $↓, G ↓, AD ↓, recession ↑$
- ☒ C indirect taxation $↓, cost ↓, AS ↑, output ↑, price ↓$
- D interest rate $↓, C ↑, I ↑, AD ↑ > AS, price ↑$

- 23 What is not a threat to globalisation? (movement towards free trade) (market liberalization)
- A rising fear of losing jobs to immigrant workers Anti-globalization sentiments
- B rising political tensions among major economies of the world political tensions can't encourage free trade!
- C stronger trade unions in industries producing substitutes of imports
- ☒ D withdrawal of government support for inefficient industries Discouraging imports, means protectionism, not in favour of globalization.

protectionism ↓
Free trade

longrun relief (Building infrastructure)

9

- 24 Singapore has one of the highest population densities in the world. It discourages car use through a high tax on second cars.

Which additional policy would help to relieve road congestion in the short run?

- A limiting the total number of car licences issued *Quantity of cars ↓, road congestion ↓*
- B encouraging restrictions on the size of families *longterm demographic policy, not short run*
- C improving infrastructure by building new roads, *more cars will be used as road system is now improved.*
- D replacing diesel cars by electric cars

↳ More demand of electric cars, still road congestion exists.

- 25 What is not an example of an expenditure-reducing policy? *(Contractionary fiscal and monetary)*

- A a decrease in government spending
- B a depreciation of the exchange rate
- C an increase in direct taxes
- D an increase in interest rates

↳ targets: $AD \downarrow$ also known as Expenditure dampening policy.

↳ contractionary fiscal

↳ contractionary monetary

↳ Expenditure Switching policy, Depreciation, $M \uparrow$ price $\uparrow$, $M(\text{IE}) \downarrow$, switch, $C \uparrow$, $AD \downarrow$

- 26 What does the J-curve effect show? *Worse, worsen, less worsen, improves!*

- A A successful currency depreciation requires the sum of the import and export elasticities of demand to be greater than 1. *longterm outcome of J-curve*
- B After a currency devaluation, the current account is likely to get worse before it gets better. *Correct.*
- C In the short run, the demand for imports and exports tends to be price elastic. *price inelastic*
- D The value of the terms of trade will affect the success of a currency's devaluation.

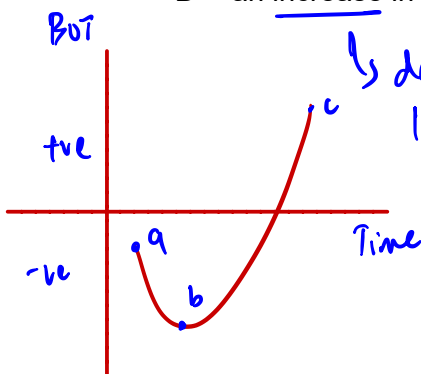
↳ devaluation affects terms of trade

- 27 What is the most likely consequence of an increase in the number of multinational companies?

- A a decrease in advancements in technology *Increase, as they import technology and capital goods*
- B a decrease in foreign direct investment *Increase, MNC setting up represents FDI*
- C an increase in exports
- D an increase in unemployment

↳ producing in our country, to export the product.

↳ decrease as setting up locally requires labour, so unemployment ↓



28 The table shows the GDP and population of four countries.

Which country is most likely to have the lowest standard of living?

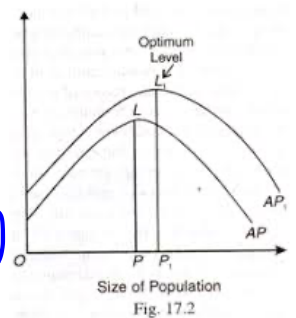
	country	GDP US\$ billion	population million
☒ A	Bangladesh	206.7	153.5
☐ B	India	2989.1	1147.9
☐ C	Nigeria	292.7	138.3
☐ D	South Africa	467.1	43.8

$$\text{GDP per head} = \frac{\text{GDP}}{\text{Total population}}$$

1.346 (Lowest)
2.603
2.116
10.66

29 What will increase the size of a country's optimum population?

- A a rise in the birth rate *only size of population ↑, dependency ↑*
 B a lowering of the age of retirement *early retirement, dependency ↑*
☒ C a rise in the stock of capital available in the country *shift (see reason and diagram)*
☐ D a decrease in the productivity of the country's industries
output per resource ↓, worsen situation. → reflects inequality



30 The table shows the values of the Gini coefficient for some countries in a given year.

	Gini coefficient
Namibia	74.3
Zambia	50.4
France	32.7
Denmark	24.7

→ Highest inequality

→ lowest inequality

Using this information, which statement is correct?

- ☒ A Income is distributed more equally in Denmark than France. *Correct (24.7 < 32.7)*
☐ B Income is distributed more equally in Namibia than Zambia. *No, highest inequality in Namibia*
☐ C Income per capita is higher in Zambia than Namibia. *Data shows no such information*
☐ D There are proportionally more people below the poverty line in Zambia than France. *↓*

Example: If there are **increases in stocks of capital** i.e. a country develops more efficient farming techniques, it can support a larger population without decreasing the average income per person. This would shift the optimum population curve to the right, meaning a higher population can be sustained.

Data doesn't show the number of people below the poverty line, this means Gini-coefficient doesn't reflect absolute poverty.

BLANK PAGE

BLANK PAGE

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge Assessment International Education Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge Assessment International Education is part of Cambridge Assessment. Cambridge Assessment is the brand name of the University of Cambridge Local Examinations Syndicate (UCLES), which is a department of the University of Cambridge.